

“A motion for summary adjudication tenders only those issues or causes of action specified in the notice of motion, and may only be granted as to the matters thus specified.” (Schmidlin v. City of Palo Alto (2007) 157 Cal.App.4th 728, 743-744.) Further, “the motion must be denied if the movant fails to establish an entitlement to summary adjudication of the matters thus specified; the court cannot summarily adjudicate other issues or claims, even if a basis to do so appears from the papers.” (Ibid.)

Here, not only does the Notice of Motion not specify which causes of action AGC believes are subject to summary adjudication, the Separate Statement also fails to specifically state which causes of action are at issue.

The Notice of Motion also fails to comply with Local Rule 3.3.7, which alone provides the Court grounds to deny the motion.

AGC is warned that the failure to comply with procedural requirements in the future may result in the denial of future motions, with prejudice. However in the interest of judicial efficiency, the Court will rule on the substantive merits.

B. Substantive Arguments

AGC moves for summary adjudication on the three causes of action involving misrepresentation – 1) false promise, 2) fraudulent misrepresentation and 3) negligent misrepresentation.

“To maintain an action for deceit based on a false promise, one must specifically allege and prove, among other things, that the promisor did not intend to perform at the time he or she made the promise and that it was intended to deceive or induce the promise to do or not do a particular thing.” (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 159.) It is simply a form of intentional misrepresentation or fraud. (Ibid.)

To prove fraud, Plaintiff must show: 1) a misrepresentation (false representation, concealment, or nondisclosure); (2) scienter or knowledge of its falsity; (3) intent to induce reliance; (4) justifiable reliance; and (5) resulting damage. (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 838.)

A cause of action of negligent misrepresentation is “a species of the tort of deceit.” (Conroy v. Regents of University of California (2009) 45 Cal.4th 1244, 1255.) Similar to intentional misrepresentation, the plaintiff must produce evidence of a misrepresentation, intent to induce reliance, justifiable reliance, and damages. (Ibid.) However, unlike intentional misrepresentation, the tort of negligent misrepresentation only requires that the misrepresentation be made “without reasonable ground for believing it to be true.” (Borman v. Brown (2021) 59 Cal.App.5th 1048, 1060. It does not require actual knowledge of the falsity of the statement. (Ibid.)

As the moving parties, Defendants bear the burden of showing that there are no material issues of fact any of the misrepresentation claims. In support of their motion, Defendants relies on only four facts: 1) Plaintiff's name is not included as a person who would receive the financial reports pursuant to Clause 3(i) (UMF 1) 2) Plaintiff is not a member of the gun club (UMF 2); 3) Plaintiff was specifically left out of being named in Clause 3(i) (UMF 3); and 4) the Agreement is unambiguous. (UMF 4.)

These contentions, even if undisputed, have little bearing on the Plaintiff's claims for misrepresentation (either intentional or negligent) that allegedly induced him to enter into the Agreement. Plaintiff counters with triable issues of material fact on these claims. Specifically, Plaintiff contends that AGC intentionally misrepresented its ability to produce the types of financial reports listed in the Agreement, knowing at the time it made those promises to Plaintiff that it could not fulfill the same. (PUMF 13, 14; Declaration of Lawrence Sarkis ("Sarkis Decl.") ¶ 5.) Plaintiff alleges he relied on those misrepresentations in agreeing to dismiss his court cases against AGC. He further alleges that he has been damaged because he has, at the least, incurred fees and costs associated with trying to enforce the Agreement.

Defendants object to Plaintiff's evidence that he relied on those representations in agreeing to sign the Agreement based on the parole evidence rule. However, it is well-established California case law "parole evidence is admissible to prove fraud in the inducement 'even though the contract recites that all conditions and representations are embodied therein.'" (Ron Greenspan Volkswagen, Inc. v. Ford Motor Land Development Corp. (1995) 32 Cal.App.4th 985, 995 [citation omitted].)

Accordingly, as genuine issues of material fact remain on Plaintiff's claims, the motion for summary adjudication is denied.

VI. Conclusion

For all the foregoing reasons, Defendants' motion for summary adjudication is denied.